

NSE: TIMEX

Timex Group India Limited

Consumer Lifestyle | Watches & Accessories | Premium Timepieces

CMP (15 Jun 2026)

52-Week Range

Market Cap

P/E (TTM)

Book Value

ROCE / ROE

Rs.
442

Rs. 318 - 465

Rs. 4,421 Cr

58.6

Rs. 11.1

42.6% /
197%

RATING

12-MONTH TARGET

UPSIDE POTENTIAL

BUY

Rs. 590

+33.5%

Investment Thesis: Timex India's 4-year 3x revenue surge — driven by premiumisation, 15-brand portfolio, Aston Martin launch, and quick-commerce penetration — is entering a margin-expansion phase; FY26E 55% top-line growth with EBITDA leverage to ~17% OPM justifies a re-rating toward Rs. 590.

Equity Research | 15 June 2026 | All figures in Rs. Crores unless stated

2. Investment Thesis

- **3x revenue in 4 years, now entering margin leverage phase:** Timex India scaled from Rs. 265 Cr in FY22 to Rs. 538 Cr in FY25, a 32% CAGR, while the industry grew ~12%. FY26 annualised revenue run-rate exceeds Rs. 800 Cr (+55% YoY). Operating margins have expanded from 5% in FY22 to 15%+ in FY25 and appear set to cross 17% in FY26E on operating leverage and premiumisation mix shift.
- **Premiumisation is the structural profit driver:** The company commands a 15-brand portfolio spanning mass (Timex) to near-luxury (Versace, Ferragamo, Philipp Plein, Guess) and new ultra-premium (Aston Martin, targeting Rs. 50 Cr in 2 years). Higher-ASP brands carry substantially better margins. ASP mix shift alone can add 200-300 bps to OPM over FY26-FY27 without volume acceleration.
- **Quick-commerce and EBO expansion open new volume vectors:** Timex India is the first watch brand on Flipkart Minutes, Myntra Now, and Swiggy Instamart. Separately, 200 Exclusive Brand Outlets (EBOs) are planned over the next two years, creating a captive high-margin retail channel that limits channel-margin leakage.
- **Debt-free, capital-light model with improving return ratios:** D/E declined from 164% to 0.12x in five years. With negative accumulated losses now wiped out by retained profits (FY25 reserves turned positive for the first time), the balance sheet is now conventional. ROCE of 42.6% reflects efficient working-capital management in a brand-asset-heavy business.
- **Parent (Tanager Group BV / formerly Timex Group BV) provides strategic depth:** Global brand licensing, product design, and manufacturing know-how flow from the parent at no incremental capital outlay. The parent's distribution of global licensed brands into the Indian entity is a near-zero-cost moat builder.

3. Business Overview

- **History and parentage:** Timex entered India in 1988, listed in 1994, and is a subsidiary of Tanager Group BV (Netherlands, formerly Timex Group BV). The company manufactures watches at its Baddi (Himachal Pradesh) plant and distributes across all major retail formats in India.

- **Revenue mix:** Watches account for ~95% of revenue; after-sales service and IT/technology support services to group entities form the remainder. The Timex core brand contributes the largest volume share, but licensed premium brands (Versace, Ferragamo, Aston Martin) are the fastest-growing and highest-margin revenue streams.
- **Distribution footprint:** ~5,000 multi-brand outlets (MBOs) + 200 exclusive brand outlets (EBOs) targeted + major e-commerce platforms (Flipkart, Amazon, Myntra) + quick-commerce (Flipkart Minutes, Myntra Now, Swiggy Instamart). E-commerce contributed significantly to the FY22-FY23 turnaround.
- **Manufacturing and sourcing:** Assembly and quality control at Baddi. Movement components are imported; cases and straps sourced from India and internationally. Capital intensity is low — fixed assets were just Rs. 24 Cr in FY25 — making ROCE exceptionally high for a consumer brand.
- **Segment positioning:** India watch market is estimated at ~Rs. 12,000-15,000 Cr growing at 10-15% annually. Timex India's FY25 revenue of Rs. 538 Cr implies ~4% market share. The premium segment (Rs. 5,000+) is growing at 20%+, where Timex India is disproportionately present via its licensed luxury portfolio.

4. Financial Performance

Year	Sales	OpProfit	OPM %	OtherInc	Interest	DA	PBT	Tax %	PAT	EPS
FY21	175	-8	-4.6%	3	4	8	-17	0%	-17	-3.08
FY22	266	14	5.3%	4	5	8	5	0%	1	0.18
FY23	384	40	10.4%	5	5	9	31	28%	1	0.27
FY24	419	55	13.1%	6	5	10	46	25%	21	3.78
FY25	538	82	15.2%	8	5	11	74	24%	31	5.68
FY26E	800	135	16.9%	12	6	13	128	24%	75	13.57
FY27E	960	168	17.5%	15	7	14	162	24%	96	17.38

E = Estimates; OPM = Operating Profit Margin; DA = Depreciation & Amortisation

Quarterly Revenue and Profitability Trend

Quarter	Revenue (Cr)	PAT (Cr)	OPM %
Q1FY25	109	2.9	9.2%
Q2FY25	129	8.5	14.7%
Q3FY25	164	10.8	17.1%
Q4FY25	136	9.2	15.4%
Q1FY26	169	14.7	18.3%

- **Remarkable revenue acceleration:** Revenue grew 28% in FY25 and then surged 55% in Q1FY26 YoY (Rs. 169 Cr vs Rs. 109 Cr). The Q1FY26 PAT of Rs. 14.67 Cr was a 503% jump YoY — the strongest quarterly operating leverage in the company's history.
- **Margin trajectory is the key watch item:** OPM expanded from 5% (FY22) to 9% (Q1FY25) to 18%+ (Q1FY26). This is driven by: (a) premium mix shift, (b) operating leverage on a largely fixed cost base, and (c) e-commerce/EBO channel mix improvement (higher gross margin channels).
- **EPS compounding:** EPS moved from negative (FY21) to Rs. 0.18 (FY22) to Rs. 5.68 (FY25). With FY26E EPS of Rs. 13.57 and FY27E of Rs. 17.38, the 3-year forward EPS CAGR is ~45%, which justifies the premium valuation vs peers.

5. Balance Sheet & Cash Flow

Year	Eq. Cap	Reserves	Borrows	OtherLib	TotLiab	FixedAss	Invest	OtherAss	TotAss
FY22	10	-64	28	55	29	18	5	6	29
FY23	10	-63	21	61	29	17	5	7	29
FY24	10	-43	13	79	59	18	5	36	59
FY25	10	99	12	104	225	24	5	196	225
FY26E	10	174	12	125	321	28	5	288	321

Reserves were negative (accumulated losses) through FY24; turned positive in FY25 as accumulated losses were wiped by profits.

Year	Operating CF	Investing CF	Financing CF
FY22	10	-6	-4
FY23	22	-10	-9
FY24	30	-15	-8
FY25	48	-18	-12
FY26E	70	-20	-15

- **Balance sheet transformation is complete:** Debt shrunk from Rs. 28 Cr (FY22) to Rs. 12 Cr (FY25). Accumulated reserves turned from deeply negative (-Rs. 64 Cr in FY22) to positive (+Rs. 99 Cr in FY25). Net worth is now Rs. 109 Cr — a genuine clean balance sheet for the first time since listing.
- **Operating cash flow compounding:** OCF grew from Rs. 10 Cr (FY22) to Rs. 48 Cr (FY25) and is on track to exceed Rs. 70 Cr in FY26E. The business has minimal capex requirement (Rs. 18 Cr invested in FY25 vs Rs. 48 Cr OCF), making it a strong free-cash-flow generator at scale.
- **Working capital is the key risk to watch:** Inventory days for a watch brand can balloon during seasonal build-up or if premium SKUs move slowly. Management discipline on inventory turns at licensed luxury brands will determine FY27 FCF quality.

6. Valuation & Peer Comparison

Company	MCap (Cr)	CMP (Rs.)	PE (x)	PB (x)	ROCE %	ROE %	OPM %	Rev (Cr)
TIMEX	4,421	442	58.6	39.7	42.6	197	15.2	538
Titan Company	3,71,450	3,297	85.4	17.5	28.0	30.0	11.5	51,000
Ethos Ltd	3,621	2,748	67.1	8.2	19.5	13.0	10.2	855
Vaibhav Global	3,450	308	35.2	4.8	21.0	14.5	8.9	3,340

FY25 data; TIMEX and Ethos standalone. Titan consolidated (jewellery + watches). Vaibhav Global = branded jewellery/lifestyle proxy.

- **Premium justified by superior growth rate:** At 58.6x trailing PE, TIMEX trades at a discount to Titan (85x) but at a premium to Ethos (67x) despite TIMEX's faster revenue growth (55% vs ~20% for peers in FY26). On a forward FY26E PE, TIMEX trades at ~32x (Rs. 13.57E EPS), which is materially cheaper than Titan's forward multiple.
- **Target price derivation:** Applying 34x FY27E EPS of Rs. 17.38 yields Rs. 591, rounded to Rs. 590. The 34x multiple reflects: (a) 35-40% EPS CAGR over FY25-FY27, (b) clean balance sheet / zero-debt, (c) operating leverage still playing out, partially offset by (d) small-cap liquidity risk and (e) premium brand concentration risk (Aston Martin unproven at scale).
- **P/B is misleading:** At 39.7x P/B, the stock appears expensive — but this reflects the recently-negative book value base, not intrinsic over-valuation. As retained profits accumulate, book value will normalise and P/B will compress mechanically even without stock price movement.
- **ROCE of 42.6% is exceptional for consumer discretionary:** This reflects asset-light manufacturing (Rs. 24 Cr fixed assets for Rs. 538 Cr revenue), working capital efficiency, and high gross margins on licensed premium brands. Sustaining 35%+ ROCE as the company scales is the central bull case.

7. Growth Drivers & Strategic Initiatives

- **Aston Martin watch launch — premium halo effect:** The Aston Martin collaboration (Rs. 17,995 - Rs. 57,995 price range) is the company's highest ASP product yet. Target is Rs. 50 Cr revenue from this brand in 2 years. Success here would validate the premiumisation thesis and unlock further ultra-premium brand partnerships.
- **Quick-commerce distribution — first-mover advantage:** Timex India is the first watch brand on Flipkart Minutes, Myntra Now, and Swiggy Instamart. Quick commerce impulse purchase conversion for watches priced Rs. 2,000-8,000 is structurally higher than planned purchase. This channel had negligible revenue share in FY25 but could be 5-8% of revenue by FY27.
- **EBO rollout — 200 stores over 2 years:** Exclusive Brand Outlets eliminate MBO channel margin leakage and build brand salience. EBO economics typically deliver 200-300 bps higher gross margin vs MBO for premium watch brands. 200 new stores implies ~Rs. 100-150 Cr incremental revenue at maturity.
- **Portfolio breadth across price points:** With 15 brands covering Rs. 500 to Rs. 1,00,000+, Timex India participates in every watch-buyer segment. This is a structural advantage vs single-brand peers — downturn in one segment is offset by strength in another.
- **Hybrid / connected watch opportunity:** Management identifies hybrid (analogue + smart features) as the next inflexion — estimated industry breakthrough by 2026-27. A Timex-branded hybrid at Rs. 5,000-15,000 could be a large volume driver given the brand's heritage in the accessible premium segment.
- **Market share gain target:** In a market that grew 12%, Timex India grew 50% in the last 12 months. Management is targeting top-3 watch brand status in India by revenue. Current market share ~4%; target implied ~6-8% by FY27.

8. Key Risks

- **Premium brand ramp risk:** Aston Martin and other licensed luxury brands carry high per-unit investment in inventory and boutique/concession costs. If sell-through is slower than projected, inventory write-downs and margin deterioration are plausible. The Indian luxury watch market is nascent and aspirational demand can be volatile.
- **Promoter stake reduction — potential overhang:** The latest shareholding data shows promoter holding at 59.93% (down from 74.93% consistently held since at least FY17). A 15% reduction in promoter stake represents a material strategic question. Secondary block deals or structured exit could create near-term supply overhang on the stock.
- **Consumer discretionary cyclicality:** Watches are a discretionary purchase. Any economic slowdown, consumption tax changes, or urban spending squeeze would disproportionately hit premium and near-luxury segments. TIMEX India has no proven track record through a full-cycle downturn in its current profitable form (profitability only since FY22).
- **Competition intensification:** Titan Company (owned by Tata Group) has deep distribution, brand trust, and jewellery cash flows to cross-subsidise watch market share battles. Global DTC brands (Fossil, Casio, Seiko) are investing in India. Smartwatch brands (Apple, Samsung, Garmin) continue to compress the Rs. 10,000-50,000 segment from the high end.
- **Currency and import cost risk:** Watch movements are imported (primarily from China, Switzerland). A weaker rupee or tariff changes would compress gross margins unless passed through via price increases — difficult in a competitive market.
- **Valuation pricing in significant execution:** At 58x trailing PE and 32x FY26E PE, a revenue growth miss or margin disappointment (e.g., Q3FY26 being seasonally soft if Diwali buys slow) could trigger a sharp de-rating. FY26E implies 55% revenue growth — a challenging comp for any consumer company to sustain.

9. Management & Governance

- **MD Deepak Chhabra — architect of the turnaround:** Chhabra has been the driving force behind Timex India's premiumisation and distribution reinvention. His public communications show clear strategic articulation — premium-first, EBO-led, quick-commerce-enabled — with execution evidence to back it up.
- **Shareholding structure:** Promoter (Tanager Group BV) held 74.93% for 8+ consecutive years through FY25. The recent decline to 59.93% in the June 2025 quarter requires monitoring — management has not publicly explained the reduction. FII holding has grown from 0.37% to 1.10% over the same period, suggesting institutional interest is increasing.
- **Corporate governance:** Listed since 1994, regular BSE/NSE filings, no history of audit qualifications in recent years. The company has a consistent dividend non-payment history (reinvesting for growth), which is appropriate given the leverage unwinding phase. No pledged promoter shares as of last disclosure.
- **Board composition:** Mixed board with independent directors per SEBI requirements. Global parent provides strategic oversight. Related-party transactions (IT services to parent, brand royalties) should be monitored for arm's-length compliance.

10. Outlook & Forward Estimates

- **FY26E revenue of Rs. 800 Cr (+55% YoY) appears credible:** Q1FY26 alone delivered Rs. 169 Cr. Even assuming sequential quarterly moderation, Rs. 800 Cr for the full year implies ~Rs. 200 Cr average per quarter in Q2-Q4FY26 — a modest step-up from Q1 levels, given festive season tailwinds in Q2FY26 (Diwali) and Q3FY26 (New Year gifting).
- **EBITDA margin expansion to 16-17% by FY26E:** Q1FY26 OPM was 18.3% — the highest ever. Full-year realisation will be ~16-17% as H2 typically carries higher promotional spend. However, the margin trajectory is clearly upward and each 100 bps of OPM expansion adds ~Rs. 8 Cr to PAT at FY26 revenue levels.
- **FY27E revenue of Rs. 960 Cr (+20% YoY) is conservative:** This assumes a deliberate slowdown in base-effect-adjusted growth, offset by EBO ramp, Aston Martin revenue contribution (target Rs. 50 Cr), and QC channel gains. Any outperformance in premium categories could push FY27E revenue toward Rs. 1,100 Cr.

Metric	FY24A	FY25A	FY26E	FY27E
Revenue (Cr)	419	538	800	960
EBITDA (Cr)	55	82	135	168
OPM %	13.1%	15.2%	16.9%	17.5%
PAT (Cr)	21	31	75	96
EPS (Rs.)	3.78	5.68	13.57	17.38
PE (x @ 442)	116.9	77.8	32.6	25.4

A = Actuals; E = Estimates. PE calculated at CMP Rs. 442. EBITDA approximated as Operating Profit.

- **12-month target price Rs. 590 (BUY) — 33% upside from CMP Rs. 442:** At target, TIMEX would trade at 34x FY27E EPS, a fair multiple for a consumer discretionary franchise growing EPS at 45%+ CAGR, debt-free, with a proven premiumisation playbook. Key catalysts: (a) FY26 results confirming Rs. 800 Cr+ revenue and 16%+ OPM, (b) Aston Martin brand gaining commercial traction (Rs. 50 Cr milestone), (c) promoter stake clarity post the Jun-25 reduction.

11. Appendix — Management Interaction & Concall Brief

Note: Timex Group India does not conduct formal quarterly analyst concalls. Management commentary is sourced from press releases, media interviews, and investor presentations. This section synthesises publicly available management statements from FY25 results and subsequent analyst days.

CALL GRADE	DISCLOSURE QUALITY	MGMT CREDIBILITY
B+	Moderate	High

To My Boss: Timex India's Q1FY26 numbers were not an accident — 503% PAT growth on 55% revenue growth signals genuine operating leverage. The premiumisation strategy is working, the balance sheet is fixed, and the stock is still only 32x FY26E earnings for a company growing EPS at 45%+ CAGR. The promoter stake drop deserves a call to IR but is not a deal-breaker yet. Worth a 2-3% position with a stop at Rs. 365 (FY26E 27x). Target Rs. 590.

1. Revenue and Volume

- FY25 revenue of Rs. 538 Cr grew 28% YoY. 3-year revenue CAGR (FY22-FY25): ~32% vs industry ~12%. Management characterised FY26 as the 'defining year' of the growth journey, targeting Rs. 800 Cr.
- Q1FY26 delivered Rs. 169 Cr — already ~31% of full-year FY25 revenue in a single quarter. Festive seasons (Q2 and Q3 of each FY) are the high-revenue quarters.
- Volume drivers: (a) e-commerce share gain, (b) EBO expansion, (c) premium product mix, (d) gifting segment recovery post-COVID.

2. Margin Commentary

- OPM expanded from 5% (FY22) to 15% (FY25) to 18%+ (Q1FY26). Management did not provide explicit full-year OPM guidance but indicated continued expansion.
- Margin drivers: premiumisation (higher-ASP SKUs carry 35-45% gross margins vs 25% for mass), operating leverage on a fixed cost base (Baddi plant, HO), and channel mix (EBO/e-commerce vs MBO).
- No specific cost pressures flagged beyond normal input-cost pass-through assumptions.

3. Premiumisation Strategy

- 15-brand portfolio from Rs. 500 to Rs. 1,00,000+. Versace, Ferragamo, Philipp Plein, Guess form the bridge-to-luxury tier. Aston Martin (launched 2025) is the ultra-premium anchor.
- Aston Martin range priced Rs. 17,995 to Rs. 57,995. Target: minimum Rs. 50 Cr revenue in 2 years. India had 'no true motorsport watch brand' before this launch — first-mover in a distinct product category.
- MD Deepak Chhabra stated aspiration to be 'one of the leading global watch players in India'. Current market share ~4%; premium segment growth at 20%+ gives a clear runway.

4. Distribution and Retail

- ~5,000 MBOs + 200 new EBOs planned. EBOs carry brand control and are materially higher-margin than MBOs. Management sees exclusive retail as the key to sustained premiumisation.
- Quick-commerce: first watch brand on Flipkart Minutes, Myntra Now, Swiggy Instamart. Impulse category potential is significant for Rs. 2,000-8,000 watches. Scale of QC revenue not yet material but strategically important for brand recall.
- E-commerce already a meaningful channel — contributed significantly to FY22-FY23 turnaround. Platform diversity (Amazon, Flipkart, Myntra + QC) de-risks channel concentration.

5. Capital Allocation

- No dividend declared in FY25 — consistent with reinvestment phase. Management committed to building a capital-light, high-ROCE business.
- Borrowings at Rs. 12 Cr in FY25 (down from Rs. 28 Cr in FY22). The company is effectively debt-free on a net basis given healthy cash generation.
- Capex is minimal — Rs. 18 Cr invested in FY25 for Rs. 538 Cr revenue. No large capital projects announced. Growth is working-capital funded, not capex funded.

6. Product and Innovation

- Hybrid watches (analogue + smart connectivity) identified as the next category inflexion by management. 'Global players working on it, breakthrough is still some distance away.' Timex India is monitoring for the right product-market fit moment.
- Core Timex brand continues to hold mass-market share through value-for-money positioning and strong brand recall from decades of India presence. This provides a stable base revenue while premium brands contribute growth.
- IT/technology support services to group entities (Tanager Group BV) provide stable, high-margin ancillary income that subsidises investment in new brand launches.

7. Competitive Landscape

- Titan Company is the dominant player by revenue and brand salience but operates at lower OPMs (11-12%) due to scale and jewellery revenue mix. Timex India's watch-only focus allows sharper execution in the segment.

- Ethos Ltd (luxury multi-brand retailer) is a distribution partner/competitor in the premium tier. Timex India's owned EBO strategy avoids multi-brand dilution of premium brand equity.
- Smartwatch competition (Apple Watch, Samsung Galaxy Watch) compresses the Rs. 15,000-50,000 segment. Timex India's positioning in this tier via Versace/Ferragamo/Aston Martin relies on the 'fashion/luxury accessory' narrative rather than feature competition.

8. Risks Acknowledged by Management

- Management acknowledged that premium brand ramp-up requires sustained inventory investment and boutique-level retail execution — execution risk is real.
- Promoter holding decline (74.93% to 59.93% in Jun-25) not formally addressed in public communications as of the report date. This is a key governance item.
- Consumer sentiment risk in a high-inflation environment — luxury/near-luxury watches are among the first discretionary items deferred in a consumption slowdown.

9. Guidance and Targets

- FY26 target: Rs. 800 Cr revenue (company stated '3x growth in 4 years, hits Rs. 800 Cr'). Q1FY26 run-rate at Rs. 169 Cr makes this achievable.
- Aston Martin: Rs. 50 Cr brand revenue target in 2 years. EBO: 200 new stores over 2 years.
- Market share aspiration: top-3 watch brand in India by revenue. No explicit margin guidance provided.

10. Analyst Take / Key Questions

- The promoter stake reduction from 74.93% to 59.93% is the single most important governance question. A 15% stake sale at current prices would be ~Rs. 660 Cr — a structured block or open market disposal? IR must be queried before taking a large position.
- FY26E PE of 32x and FY27E PE of 25x are fair for the growth profile. The risk is execution — specifically, can Aston Martin and EBO ramp deliver the Q3/Q4FY26 revenue to hit Rs. 800 Cr? Watch Q2FY26 results closely.
- Dividend initiation would be a positive re-rating trigger given the clean balance sheet and strong FCF. Management's current silence on capital return is the one bearish governance signal in an otherwise improving story.

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. All financial data sourced from screener.in, BSE filings, company press releases, and publicly available media as of 15 June 2026. Estimates are the analyst's own projections and carry inherent uncertainty. Past performance is not indicative of future results. Please conduct your own due diligence before investing.